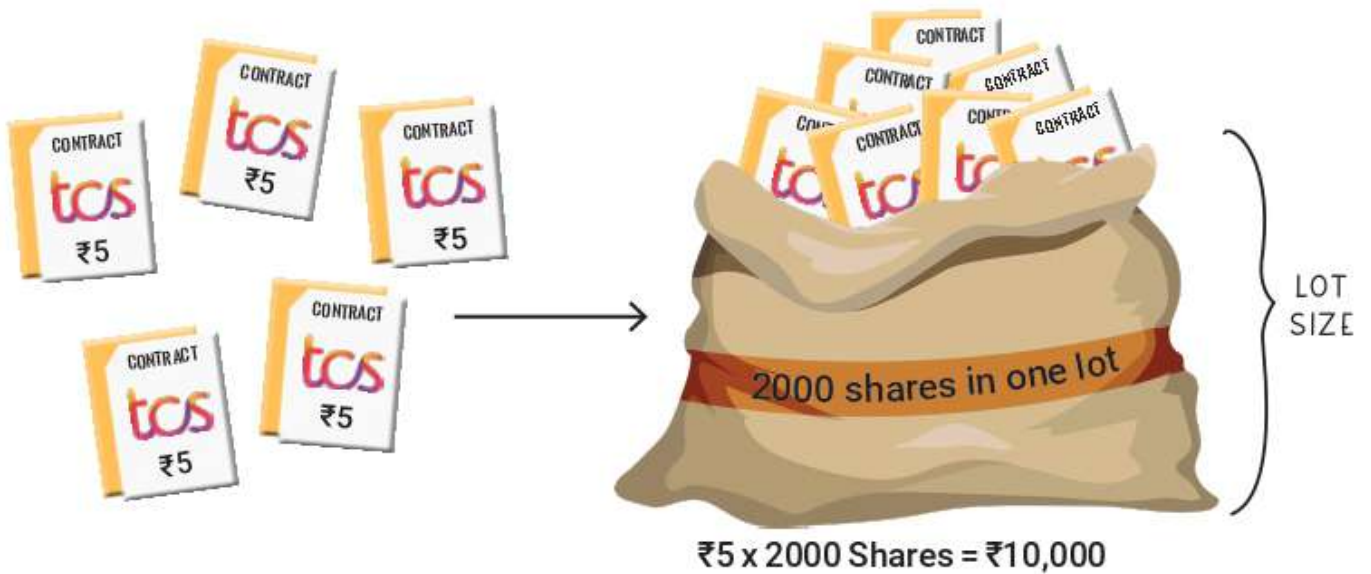


## LOT SIZE



Single option contracts cannot be purchased. They have to be bought and sold in lots. The number of contracts in each lot determines the Lot size. So, if an option contract is worth ₹5 and has a lot of 2000 contracts, then each lot costs ₹10,000.

## PREMIUM



The premium is the price that the buyer pays to enter the contract. Premium is the cost of the option or the right that the buyer is purchasing. Premium paid determines the profitability of any option strategy. We will learn more about these when we discuss payoff charts.